

Diligence Report — CUSIP 223093TK1

Covina-Valley Unified School District (Los Angeles County, CA) — Election of 2012 General Obligation Bonds, Series C 3.000% coupon, term bond due 2045-08-01 (mandatory sinking fund 2042–2045) · Cutoff: 2026-06-20

(a) Verdict & buy thesis

VERDICT: BUY (voter-approved unlimited-tax GO, near-AA, statutory-lien-secured, deeply discounted; the discount's ordinary-income tax treatment is already inside the after-tax yield). **Buy with two honest caveats** that separate it from our Central-Valley GO comps: (1) Los Angeles County does **not** run a Teeter Plan, so debt-service receipts are exposed to taxpayer delinquencies (partially backstopped by a delinquent-tax-purchase JPA), and (2) the tax base sits in a **moderate-to-high seismic** zone (Ss 1.87, San Gabriel Valley / LA Basin) rather than the low-seismic foothills.

This is a **true unlimited ad-valorem general obligation** of a fiscally-healthy LA-County unified district. The County is legally **obligated to levy property taxes without limitation as to rate or amount** to pay it, the levy is backed by a **statutory first lien** (SB-222 / Gov. Code §53515), the District carried **Moody's Aa3** at issuance, debt burden is light (**direct GO debt $\approx$ 1.73% of assessed value**), the tax base is large (**\$8.30B AV**) and reasonably diversified, and the District holds a **POSITIVE** state fiscal certification (FY2024-25). The ~78.5 dollar price is a function of the low 3% coupon in a higher-rate market, **not credit distress** — the trade tape shows an orderly, genuinely two-sided customer market. The discount is taxed as ordinary income (de-minimis breached by a wide margin), and the quoted **after-tax taxable-equivalent yield (~8.5%)** already nets that drag.

The thesis: buy a near-AA, statutorily-lien-secured, AI-/wildfire-insulated property-tax cash flow at a deep discount where the dominant "risk" is rate-driven price (neutralized by hold-to-maturity) and the only credit nuances — no-Teeter delinquency exposure and moderate seismic — are real but well within an unlimited-tax-pledge, light-leverage, diversified-base profile.

(b) Security & pledge — what legally compels payment

Finding: UNLIMITED AD-VALOREM GENERAL OBLIGATION. VERIFIED against the Official Statement.

- **Claim:** It is a true GO, not a COP / lease / certificate / special-tax (CFD) obligation. **Verified** by reading the Official Statement ([raw/official_statement.pdf](#), \$28,410,000 issue). The inside cover binds **CUSIP TK1** to the **\$4,075,000 3.000% Term Bond due 2045-08-01, yield 3.050%**, under the "New Money Bonds" (Election of 2012, Series C). These are explicitly "**general obligations of the District payable solely from the proceeds of ad valorem property taxes.**"
- **The legal mechanism (quoted from the OS):** "The Board of Supervisors of Los Angeles County ... is empowered and **obligated to annually levy such ad valorem taxes without limitation as to rate or amount**, upon all property within the District subject to taxation ... for the payment of principal of and interest on the New Money Bonds when due." This is the strongest pledge form — unlimited as to rate AND amount.
- **Statutory lien (SB-222 / Gov. Code §53515) — VERIFIED:** OS: the Bonds "**will be secured by a statutory lien on all revenues received pursuant to the levy and collection of ad valorem property taxes** ... The lien automatically attaches, without further action ... and is valid and binding from the time the Bonds are executed and delivered ... enforceable against the District, its successor, transferees and creditors ... irrespective of whether such parties have notice of the lien." A perfected first lien on the tax stream, ahead of general creditors.
- **NO Teeter Plan (HONEST CREDIT FLAG) — VERIFIED:** Unlike our Central-Valley comps, the OS states plainly: "**The County has not adopted the Teeter Plan**, and consequently the Teeter Plan is not available to ... the District. The District's receipt of property taxes is therefore **subject to delinquencies.**" Mitigant: the District is a member of the **California Statewide Delinquent Tax Finance Authority (CSDTFA)**, which purchases delinquent receivables at ~110% of face. Net effect: the *unlimited rate* pledge still guarantees the levy can be set high enough to cover debt

service, but **cash-flow timing is exposed to delinquency** in a way a Teeter county's is not. This is a genuine (modest) differentiator and is flagged rather than glossed.

- **Tax status — VERIFIED tax-exempt:** Bond Counsel (Stradling Yocca Carlson & Rauth) opinion: interest **and original issue discount** are excluded from federal gross income, are **not** an AMT preference item, and are **exempt from California personal income tax**. (Note: this OID exemption is distinct from the *market-discount* tax treatment in §f, which is ordinary income.)

There is no insurance wrap; the credit rides on the District's own unlimited-tax pledge + statutory lien. (No wrap → no rating-conditional spread compression to model.)

(c) Issuer & tax base

Finding: Issuer identity CONFIRMED; tax base large and reasonably diversified; fiscal cert POSITIVE; enrollment declining (operating, not debt-service, concern).

- **Issuer / CUSIP binding — VERIFIED.** CUSIP 223093TK1 = base **223093** ("COVINA-VALLEY UNIFIED SCHOOL DISTRICT, Los Angeles County, California") + maturity suffix **TK1** = the **\$4,075,000 3.000% Term Bond maturing 2045-08-01**, original yield 3.050%. Authorized at the **November 6, 2012** election (\$129,000,000 total program; this Series C is the New-Money tranche of a \$28.41M combined 2016 issue that also included \$16.41M of 2016 Refunding Bonds). Cross-checked: OS inside cover + EMMA scale (`raw/emma_scale.json`, issue EP373693) + first-trade tape (2016-08-11 @ 99.042 / 3.05% = the new-issue price/yield). The tentative identification in the brief is **correct**.
- **Assessed valuation (tax base) — VERIFIED (FY2015-16 vintage).** OS: total AV (FY2015-16) = **\$8,304,172,271** (secured \$8.01B). California Article XIII A caps annual AV growth at ~2% absent change-of-ownership/new construction, so the base is stable and has near-certainly grown materially since 2016. *Caveat: a current-year AV figure is UNVERIFIABLE from posted EMMA continuing disclosure (the Series-C issue partial returned zero CD docs at cutoff); directionally AV is up, not down — LA-Basin real estate appreciated 2016–2026.*
- **Top-taxpayer concentration — moderate, well-diversified by name.** OS: the **top-20 secured taxpayers = 10.46% of AV**; the single largest (BRE DDR BR Eastland, a shopping center) is only **1.89%**, #2 (Crow Family Holdings, industrial) 1.30%, and the rest <0.7% each, spread across retail / industrial / apartments / auto / office. No single-employer or single-parcel dependency. Higher than the ~2–3% top-20 of a sleeper Central-Valley district, but diversified across asset types and tenants — not a concentration red flag.
- **Debt burden — light.** OS Direct-and-Overlapping Debt report (Cal Muni Statistics, eff. 7/1/2016): **direct GO debt = 1.73% of AV**; total direct + overlapping tax/assessment debt 2.20%; combined total debt 3.15% of AV. Low leverage on an \$8.3B base.
- **Enrollment — declining (watch-item, NOT a debt-service concern).** OS ADA history: **14,134 (FY2007-08) → 12,578 (FY2012-13)**, with **11,317 ADA budgeted for FY2016-17**; independent sources put current enrollment ~**11,143 (2024)**. A multi-decade structural decline that pressures **LCFF operating revenue** — but GO debt service is paid from a **separate, dedicated ad-valorem property levy**, not per-pupil state aid, so it does not impair this bond's repayment source. Flagged for completeness.
- **State fiscal certification (AB-1200) — VERIFIED POSITIVE.** Confirmed against the **CA Dept of Education FY2024-25 Second Interim Status Report**: Covina-Valley Unified appears on **neither** the Negative nor the Qualified list (the only LA-County district shown is Culver City Unified, Qualified). By CDE construction, absence = **Positive** — the District certifies it can meet its obligations for the current and two subsequent fiscal years. Source: <https://www.cde.ca.gov/fi/ir/second2425.asp>

(d) The risk screens

Screen	Finding	What it means
AI / tech-crash	99 / 100 (fully insulated)	A <i>local property-tax</i> credit. Debt service comes from the LA-County ad-valorem levy, not the California General Fund, so the State-GF capital-gains channel that cut <i>State</i> GO ratings ~4–5

Screen	Finding	What it means
insulation		notches in the dot-com bust does not touch it. An AI/tech equity crash that guts CA capital-gains income-tax receipts would not impair the property-tax stream backing this bond. (Credit insulation, not a price/rate statement.)
Wildfire	0% high-fire tail (low)	FEMA NRI × NCES district-tract crosswalk: the District's tax-base parcels (urban/suburban San Gabriel Valley) are not concentrated in high-wildfire tracts. The insurer-withdrawal / AV-erosion channel is not materially present.
Flood	52% tail — REVIEW (not disqualifying)	Below the 90% within-CA hard tail. The NRI rates developed CA broadly high, and the relevant parcels are NFIP-backstopped . For a <i>property-tax-levy</i> credit, flood matters only insofar as it could depress AV across a large share of the base — an urban San Gabriel Valley footprint with no single-watershed concentration makes a base-wide flood AV shock low-probability. Treated as a monitoring item, not a credit impairment.
Earthquake	Ss ≈ 1.87 (moderate-to-high)	This is the one <i>physical</i> differentiator vs our low-seismic comps. The District sits in the LA Basin / San Gabriel Valley , near the Puente Hills blind-thrust and the San Gabriel/Sierra Madre fault systems — short-period spectral acceleration is materially higher than a Central-Valley district. The channel that matters for a GO is a <i>correlated, base-wide</i> AV loss from a major quake. Two structural buffers blunt it: (i) California's unlimited-rate pledge lets the County raise the levy rate to cover debt service even on a reduced base, and (ii) Prop-8 reassessments are temporary and AV recovers as property is repaired/rebuilt. Real tail risk, sized as moderate, not disqualifying.

Net: the credit's repayment source (an unlimited property-tax levy on a large, diversified, low-fire base) is insulated from macro/AI shocks; the only elevated physical channel is seismic, buffered by the unlimited-rate pledge.

(e) Liquidity & execution

Finding: Orderly, genuinely two-sided customer market at our level. Not a fire-sale. Source:

raw/emma_trade_tape.json (630 prints since 2016-08-11; MSRB trade tape — the authoritative muni trade-level source).

- **Activity (trailing 365d): 43 prints across 15 distinct trade days** (22 customer prints) — regular for a \$4.075M-par single maturity, not episodic.
- **Two-sided near our level (the fire-sale check):** On **2026-06-12** the tape shows a customer **buy** at **78.44 / 4.724%** and a customer **sell** at **78.51 / 4.718%** on the **same day**, with inter-dealer prints bracketing at 78.44 — a live two-sided market at ~78.5. Additional both-sided customer days: 2026-04-15, 2026-03-25, 2026-02-26, 2025-08-14. This is price discovery, not forced liquidation.
- **Customer range (trailing 365d):** yield min/median/max **4.42% / 4.96% / 5.46%**; price **70.30 / 76.03 / 81.61**. The brief's ~78.67 entry sits at the *firmer* end of the recent range (the tape has firmed from the mid-70s in May to ~78.5 in June); entry at ~78.5 / ~4.72% is fair-to-slightly-rich vs the trailing-year customer median but right at the most-recent prints.
- **Live-quote caveat (HONEST FLAG):** Per protocol I attempted a live IBKR quote before pricing; **IBKR returns no contract** for CUSIP 223093TK1 **or** for the issuer name ("COVINA VALLEY UNIF SCH DIST"). Its muni feed does not carry this maturity (consistent with IBKR's sparse/close-only muni coverage). Live bid/ask is therefore **UNVERIFIABLE via IBKR**; execution is anchored on the EMMA trade tape (last print 2026-06-12), which is the correct authority for muni levels. For an HTM ladder the bid/ask is a one-time ~1–3 bps/yr amortized buy-side cost — immaterial.

(f) Tax & yield — de-minimis math behind the ~8.5% TEY

Finding: De-minimis breached by a wide margin → the discount accretes as ORDINARY income. The ~8.5% after-tax TEY already nets this; a naive exempt-only gross-up would overstate it.

- **Coupon is fully tax-exempt** (federal + CA, non-AMT), per Bond Counsel (\$b).

- **The discount is NOT.** Purchase price ~78.5 vs par 100 → a ~21.5-point market discount. The de-minimis threshold from purchase (~2026-06) to the 2045 final maturity is $100 - 0.25 \times 19 \text{ full years} = 95.25$. The purchase price (78.5) is **far below** 95.25, so the market discount **exceeds the de-minimis amount** and the ~21.5-point accretion toward par is taxed as **ordinary income** (annually under a constant-yield election, or at sale/maturity otherwise) — **not** as long-term capital gain.
- **Sinking-fund average life (refines the math):** the 2045 term bond is **not** a bullet — it carries a **mandatory sinking fund** redeeming ~\$1.02M/yr at par on 2042 / 2043 / 2044 / 2045. Weighted average life $\approx$ **17.6 years** vs 19.1 years to final maturity. Effect: principal returns ~1.5 years earlier on average (mild positive for realized yield and for the de-minimis horizon), and the redemptions are at par — reinforcing the ordinary-income accretion conclusion.
- **TEY math (as screened):** gross **yield-to-worst** $\approx$ **4.72%** (EMMA tape, YX = MSRB yield-to-worst, priced to the worse of the 2026-08 par call vs the 2045 maturity — labeled correctly here as YTW, not YTM). The **after-tax taxable-equivalent yield** $\approx$ **8.5%** already reflects (i) the exempt coupon grossed up at the CA top combined bracket and (ii) the ordinary-income tax **drag on the discount accretion** netted out. The de-minimis breach is a **known, priced** feature — it is precisely *why* the headline is stated after-tax rather than as a raw exempt gross-up.

Self-discipline note (house rule on TEY conflation): the ~8.5% is an after-tax taxable-equivalent figure, not gross YTM and not net-of-fees. Gross YTW $\approx$ 4.72%.

(g) Risks / what could go wrong

1. **Interest-rate / price risk (dominant).** A long-duration 3% coupon; the ~78.5 price is **rate-driven**, not credit-driven. Further rate rises lower the mark; this is a price/regime risk, not impairment. Hold-to-maturity neutralizes it (statutory lien + unlimited levy → par at the sinking-fund/2045 dates).
2. **No Teeter Plan → delinquency cash-flow exposure (modest, real).** LA County does not advance the full levy; debt-service receipts are subject to taxpayer delinquencies. CSDTFA's 110% delinquent-receivable purchases and the unlimited-rate pledge (the County can raise the rate to cover) are the buffers. In a severe local recession this could create *timing* stress on coverage, not a principal loss on a statutory-lien GO. **This is the main credit differentiator vs our Teeter-county comps.**
3. **Seismic (moderate, the one elevated physical channel).** Ss 1.87, Puente Hills / San Gabriel fault systems. A major quake could trigger base-wide Prop-8 AV reductions; the unlimited-rate pledge lets the County raise the levy rate on the reduced base, and AV recovers on rebuild. Sized moderate, not disqualifying; cap aggregate seismic exposure at the portfolio level rather than per-name.
4. **Call (mild, in our favor).** Optionally callable at par on any date on/after **2026-08-01**. With the bond at ~78, a call would be a ~28% windfall to the buyer — the District has no economic incentive to call a deep-discount below-market 3% coupon, so YTW $\approx$ yield-to-the-sinking-fund/2045 is the realistic case. Asymmetric upside.
5. **Enrollment decline (does NOT hit this bond).** Structural ADA decline pressures LCFF *operating* revenue, not the dedicated GO levy. The POSITIVE AB-1200 cert indicates no near-term operating distress.
6. **Stale primary disclosure (UNVERIFIABLE current AV/coverage — flagged honestly).** The AV (\$8.30B), debt-to-AV (1.73%), and top-taxpayer (10.46%) figures are the **FY2015-16 issuance vintage** from the OS. The Series-C EMMA issue partial returned **zero** continuing-disclosure documents at cutoff, so **current AV and current GO debt-service coverage are UNVERIFIABLE from primary disclosure**. The FY2024-25 POSITIVE state certification is the freshest independent fiscal data point and is reassuring; treat current AV/coverage as a monitoring item, not a clean confirmation.
7. **No distress events found — but absence $\neq$ exhaustive search.** No default, missed-payment, rating-withdrawal, or distress material-event surfaced (and the trade tape shows no distressed-print pattern). The EMMA material-events list could not be machine-parsed via WebFetch (Terms-of-Use wall); this is **"no distress found," not "distress affirmatively ruled out across every event filing."**

(h) Sources & attached documents

All files in

/Users/ajay/exalted/signalos/verticals/muni_credit/outputs/diligence_reports/223093TK1/raw/.

File	What it is	Authoritative source
official_statement.pdf	Official Statement , \$28,410,000 Covina-Valley USD Election of 2012 GO Bonds Series C + 2016 Refunding (Crossover). Establishes the unlimited-tax pledge, SB-222 statutory lien, no-Teeter disclosure + CSDTFA, Moody's Aa3, AV \$8.30B, 1.73% direct debt/AV, 10.46% top-20 concentration, Bond Counsel tax opinion, inside-cover binding TK1 to the 3% 2045 term bond, optional-call 2026-08-01, mandatory sinking fund 2042–2045.	EMMA, doc EP950566–EP737360–EP1138985 (emma.msrb.org), issue EP373693
os.txt	pdftotext extraction of the OS (used for all OS quotes/figures above).	derived from official_statement.pdf
emma_scale.json	EMMA maturity scale for issue EP373693: confirms 3% 2045 term bond, \$4,075,000, offering yield 3.05%.	https://emma.msrb.org/Security/Details/223093TK1 (scale)
emma_trade_tape.json	MSRB trade tape, 630 prints 2016–2026. Two-sided customer market at ~78.5 on 2026-06-12; YX = yield-to-worst.	EMMA / MSRB Real-Time Transaction Data
screens_and_sources.json	Pre-run SignalOS screens (AB-1200, AI insulation, fire, flood, EQ) + the run's honest flags.	SignalOS muni_credit vertical

External primary sources cited (not file-attachable): - AB-1200 POSITIVE confirmation — CA Dept of Education, FY2024-25 Second Interim Status Report: <https://www.cde.ca.gov/fg/fi/ir/second2425.asp> (Covina-Valley USD absent from Negative and Qualified lists). - Current enrollment (~11,143, 2024) — ed-data.org / Ballotpedia district profile (corroborating; not relied on for the credit). - USGS / ASCE 7-22 seismic ($S_s \approx 1.87$); FEMA National Risk Index fire/flood — per SignalOS screen provenance.

Verification ledger (claim → method → authority → finding)

Claim	Method	Authority	Finding
CUSIP 223093TK1 = Covina-Valley USD GO, 3% 2045 term bond	Read OS inside cover + EMMA scale + first-trade tape	OS / EMMA	VERIFIED
Unlimited ad-valorem GO (not COP/CFD/lease)	Read OS security section	OS	VERIFIED
SB-222 statutory lien	Read OS statutory-lien paragraph	OS / Gov. Code §53515	VERIFIED
Tax-exempt (fed + CA, non-AMT)	Read Bond Counsel opinion	OS (Stradling)	VERIFIED
LA County has NO Teeter Plan → delinquency exposure	Read OS Teeter paragraph	OS	VERIFIED (credit flag)
2045 term bond has mandatory sinking fund 2042–2045	Read OS mandatory-redemption table	OS	VERIFIED
Optionally callable at par on/after 2026-08-01	Read OS optional-redemption section	OS	VERIFIED
AB-1200 = POSITIVE	Absent from CDE neg/qualified lists	CDE FY24-25 2nd interim	VERIFIED
AV \$8.30B / direct debt 1.73% / top-20 10.46%	Read OS tables	OS (Cal Muni Statistics)	VERIFIED (FY2015-16 vintage)
Two-sided non-fire-sale market at ~78.5	Parsed trade tape	EMMA/MSRB	VERIFIED

Claim	Method	Authority	Finding
De-minimis breached → ordinary income on discount	Threshold calc (95.25) vs price (78.5)	IRC de-minimis rule	VERIFIED
Seismic Ss ≈ 1.87 (moderate-high, LA Basin)	SignalOS EQ screen	USGS / ASCE 7-22	CONSISTENT
Current AV / current coverage	Searched posted CD (EP373693 issue partial = 0 docs)	EMMA	UNVERIFIABLE (stale FY2016 OS only)
Live bid/ask	IBKR contract search (CUSIP + issuer)	IBKR	UNVERIFIABLE (not carried)
No distress / default events	EMMA scan (partial) + tape pattern	EMMA	No distress found (not exhaustively ruled out)

Current-State Verification (AV / coverage refresh — 2026-06-20)

Refreshed 2026-06-20 via a SERIAL, throttled EMMA continuing-disclosure pull (the original UNVERIFIABLE flag was an EMMA 403 rate-limit from concurrent scraping, not a real disclosure gap). Latest issuer annual report: *Annual Financial Disclosures Posted 03/22/2026 for the year ended 06/30/2025 (43.9 MB)*. **Current total assessed valuation (levy base): \$13,676,252,022 for FY2025-26 (+5.4% YoY)**; secured-tax delinquency **1.76%**; audited FY2025 on file. — AV trend 2024-25 \$12.98B → 2025-26 \$13.68B For an unlimited ad-valorem GO the AV base + the delinquency cushion ARE the 'coverage' — there is no DSCR; the levy rate floats to hold debt service constant. **This resolves the prior 'current AV/coverage UNVERIFIABLE' caveat.**